MARKETING FUNNEL & CONVERSION PERFORMANCE ANALYSIS

Task 3 | Data Science & Analytics | Future Interns

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1. Project Overview

This report documents a detailed Marketing Funnel and Conversion Performance Analysis performed on the Olist Brazilian E-Commerce marketing dataset as part of Future Interns Task 3. The primary aim is to trace how leads move from initial contact (Marketing Qualified Leads) through to closed deals, identify which acquisition channels and customer segments drive the strongest conversion, and develop evidence-based recommendations to improve overall funnel efficiency.

Objectives:

- Examine the overall lead-to-customer conversion rate and quantify funnel drop-off
- Identify the highest and lowest performing acquisition channels by conversion rate
- Conduct a monthly trend analysis to track funnel health over time
- Determine which business segments and lead behaviour profiles convert best
- Formulate practical, data-backed recommendations to improve conversion efficiency

2. Key Performance Indicators

Metric	Value	Metric	Value
Total MQLs	8,000	**Best Channel**	Paid Search (12.3%)
Won Deals	842	**Worst Channel**	Email (3.0%)
Overall Conversion Rate	10.5%	**Top Segment**	Home Decor (105 deals)
Drop-off Rate	89.5%	**Top Lead Profile**	Cat (61.7%)

3. Funnel Overview

Of the 8,000 Marketing Qualified Leads generated, only 842 were converted into won deals — an overall conversion rate of 10.5%. The remaining 89.5% represent leads that dropped out somewhere between first contact and deal closure, making this the single largest area of opportunity in the entire funnel.

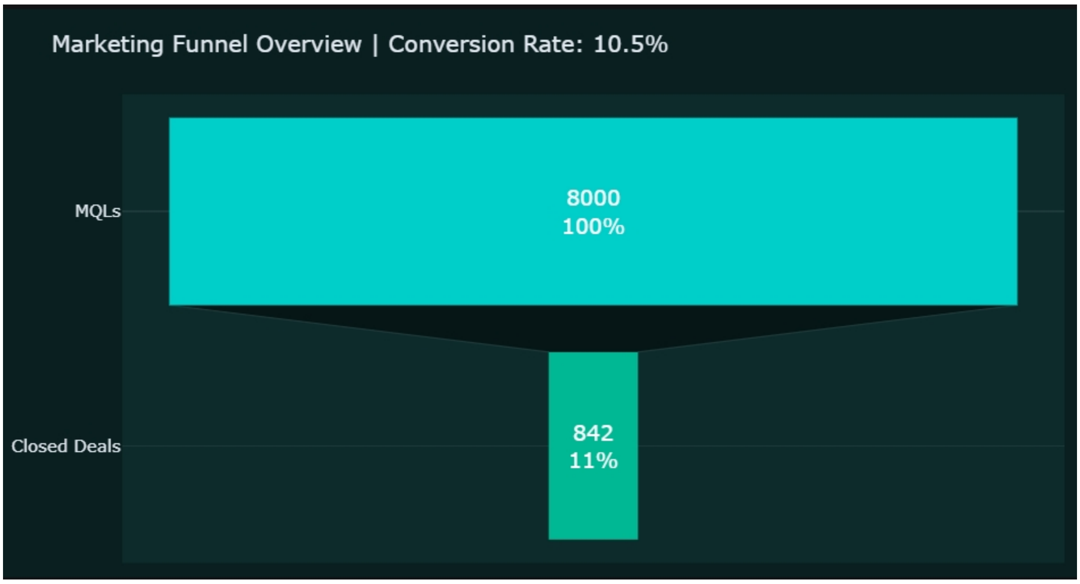

Figure 1: Marketing Funnel Overview (MQLs vs Closed Deals)

4. Channel Performance Analysis

Among all acquisition channels analysed, **Paid Search** emerges as the most efficient — converting at 12.3%, narrowly ahead of Organic Search (11.8%) despite carrying far less volume. On the other end, **Email** stands out as the weakest channel, converting at just 3.0% despite generating 493 leads — a clear sign of a broken or poorly targeted nurture sequence.

Channel	MQLs	Won	CR %	Risk Level
Paid Search	1,586	195	12.3%	LOW
Organic Search	2,296	271	11.8%	LOW
Direct Traffic	499	56	11.2%	LOW
Referral	284	24	8.5%	MEDIUM
Social	1,350	75	5.6%	MEDIUM
Display	118	6	5.1%	MEDIUM
Email	493	15	3.0%	HIGH
Other	150	4	2.7%	HIGH

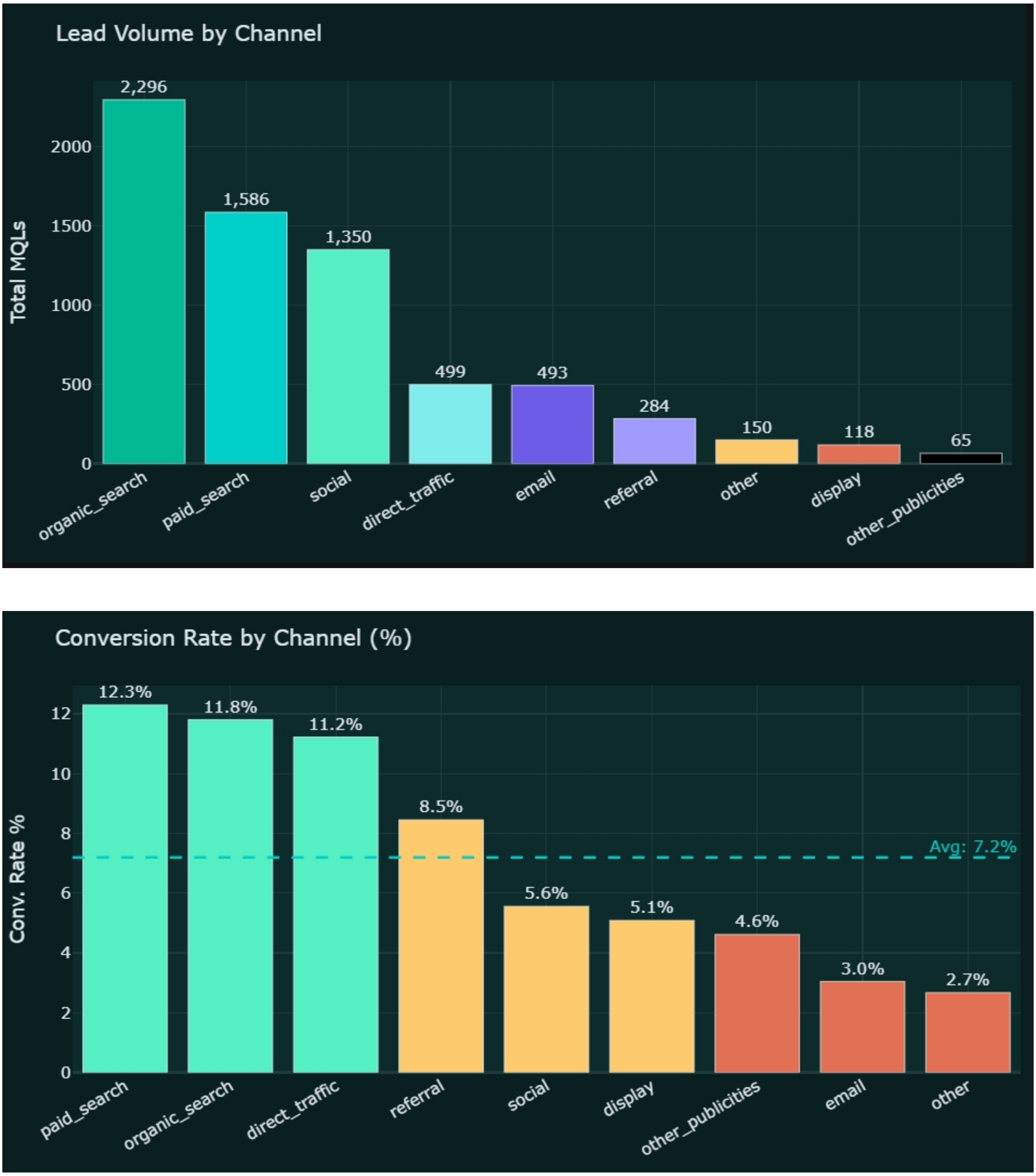

Figure 2: Lead Volume and Conversion Rate by Channel

5. Monthly Trend Analysis

The funnel shows steady growth in lead volume from late 2017 through early 2018, with conversion rate climbing sharply in parallel. **April 2018 marks the peak**, with 207 won deals and the conversion rate reaching its highest point of the period. However, May 2018 shows a sharp decline in conversion rate despite similar MQL volume — indicating a potential pipeline or sales-capacity issue worth investigating.

Figure 3: Monthly MQL Volume, Won Deals, and Conversion Rate Trend

6. Segments & Lead Profile Analysis

Home Decor (105 deals), **Health & Beauty** (93 deals), and **Car Accessories** (77 deals) are the three strongest business segments by won-deal volume, together accounting for nearly a third of all closed deals. On the behavioural side, leads classified under the **“Cat” profile** — typically slower-moving, research-driven buyers — make up over 61% of all conversions, making this the dominant persona that sales teams should be trained to engage.

Business Segment	Won Deals
Home Decor	105
Health & Beauty	93
Car Accessories	77
Household Utilities	71
Construction Tools / House & Garden	69

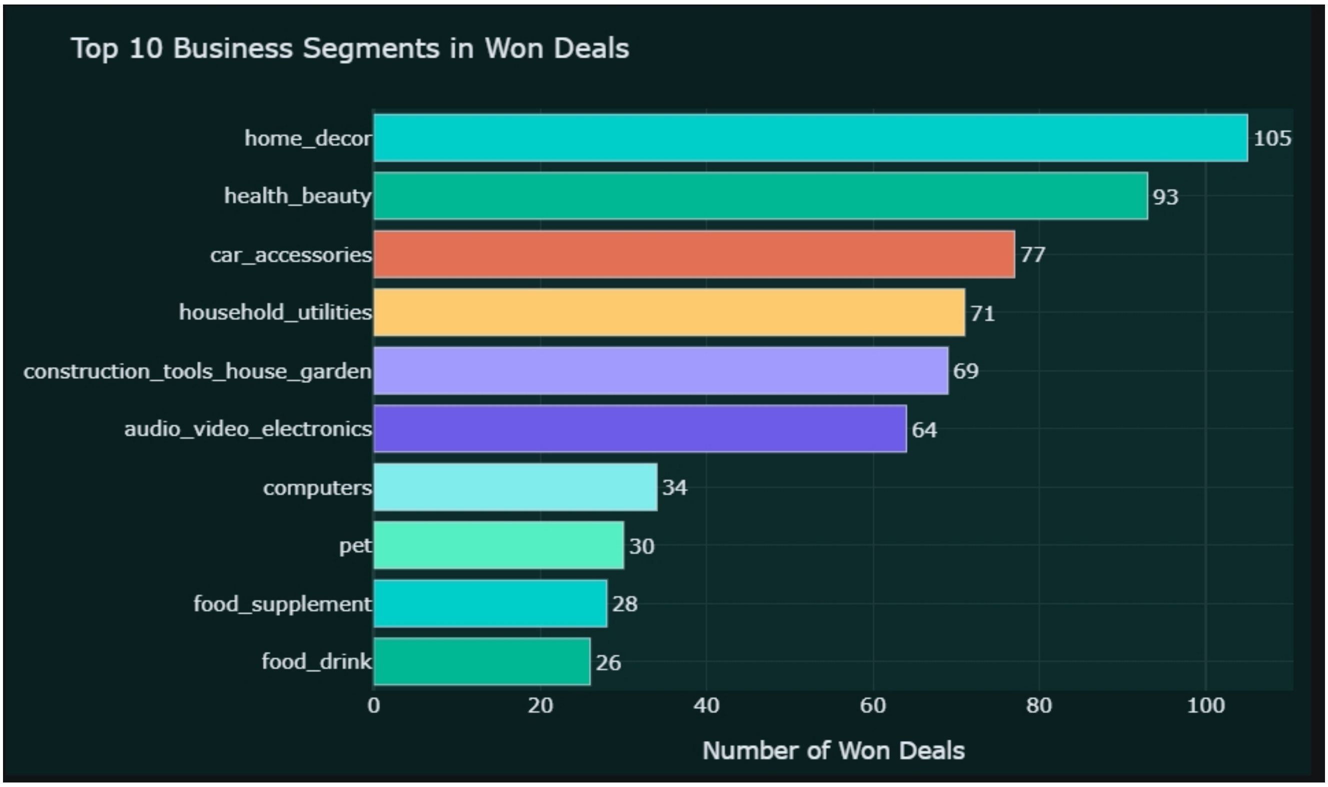

Figure 4: Top 10 Business Segments by Won Deals

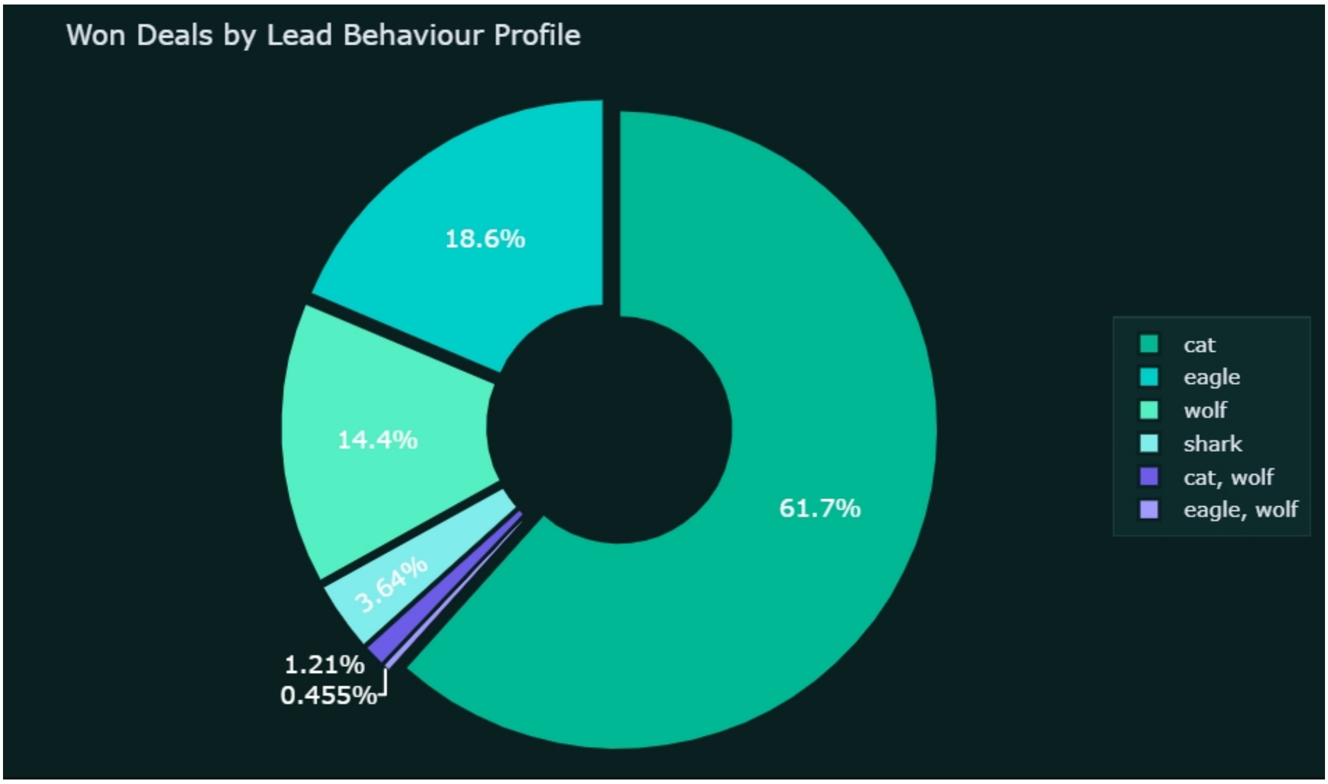

Figure 5: Won Deals by Lead Behaviour Profile

7. Key Insights

- Paid Search Leads Efficiency: Paid Search converts at 12.3% — the highest among all channels — making it the most reliable channel to scale with additional budget.
- Email is a Major Drag: Despite generating 493 leads (6th highest volume), Email converts at only 3.0% — the second-worst rate of any channel.
- April 2018 Peak, Then a Cliff: Won deals peaked at 207 in April 2018, before conversion rate dropped sharply the following month despite similar lead volume.
- Home Decor Dominates Segments: Home Decor alone accounts for 12.5% of all won deals — more than double the next closest segment.
- “Cat” Profile is the Core Buyer: Over 6 in 10 won deals come from leads with a “Cat” behavioural profile, confirming this as the primary persona to target.
- Overall Drop-off is Severe: An 89.5% drop-off rate means nearly 9 out of every 10 leads never convert — representing the single biggest revenue opportunity in this funnel.

8. Business Recommendations

Priority	Recommendation	Expected Impact
HIGH	Redesign the Email nurture sequence — current 3.0% CR is far below channel average	Lift email CR by 4-6 pts
HIGH	Implement a lead scoring model to prioritise high-intent leads and reduce overall 89.5% drop-off	Reduce drop-off 10-15%
HIGH	Investigate the May 2018 conversion drop to identify pipeline or capacity bottlenecks	Recover ~3-5 CR pts
MEDIUM	Increase Paid Search budget allocation given its leading 12.3% conversion rate	Scale won deals proportionally
MEDIUM	Launch a structured referral programme — Referral already converts at 8.5% with minimal spend	Increase referral volume 2x
MEDIUM	Build segment-specific campaigns for Home Decor and Health & Beauty	Increase segment CR 2-3 pts
LOW	Reallocate budget away from Display and “Other” channels (CR below 5.5%)	Free up 5-8% of spend
LOW	Train sales teams on engaging “Cat” profile leads — the dominant conversion persona	Improve close rate on majority segment

9. Conclusion

An in-depth examination of 8,000 marketing qualified leads reveals an overall conversion rate of just 10.5%, leaving 89.5% of generated leads unconverted. The analysis establishes that channel quality (Paid Search vs Email), timing of pipeline activity (the April-May 2018 shift), and persona alignment (“Cat” profile dominance) are the primary levers influencing conversion outcomes.

Targeted interventions — particularly fixing the Email nurture funnel, introducing lead scoring, and doubling down on Paid Search and Referral channels — have the combined potential to lift the overall conversion rate by 3-5 percentage points. Sustained focus on these areas will translate directly into more efficient marketing spend and a healthier sales pipeline.